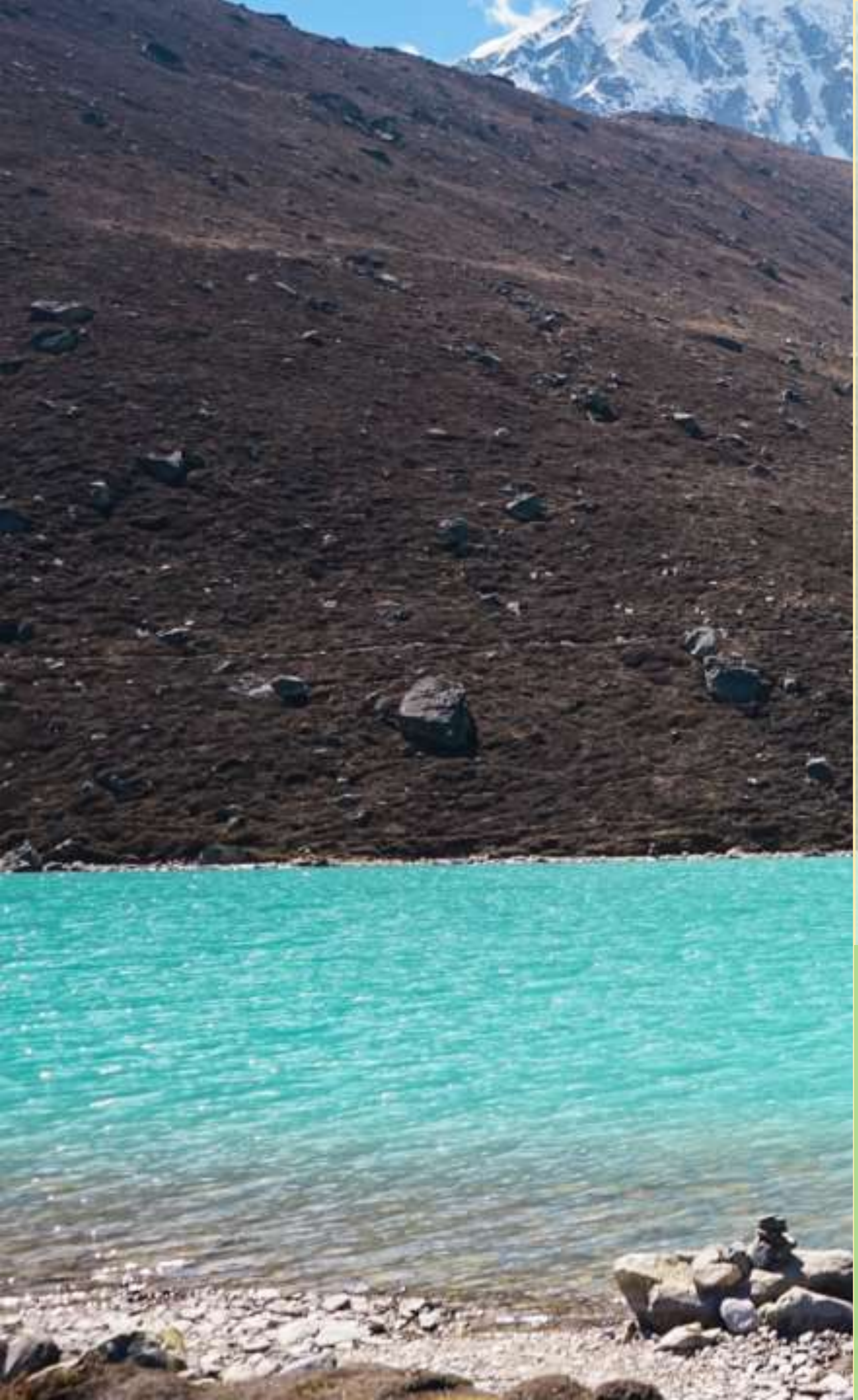
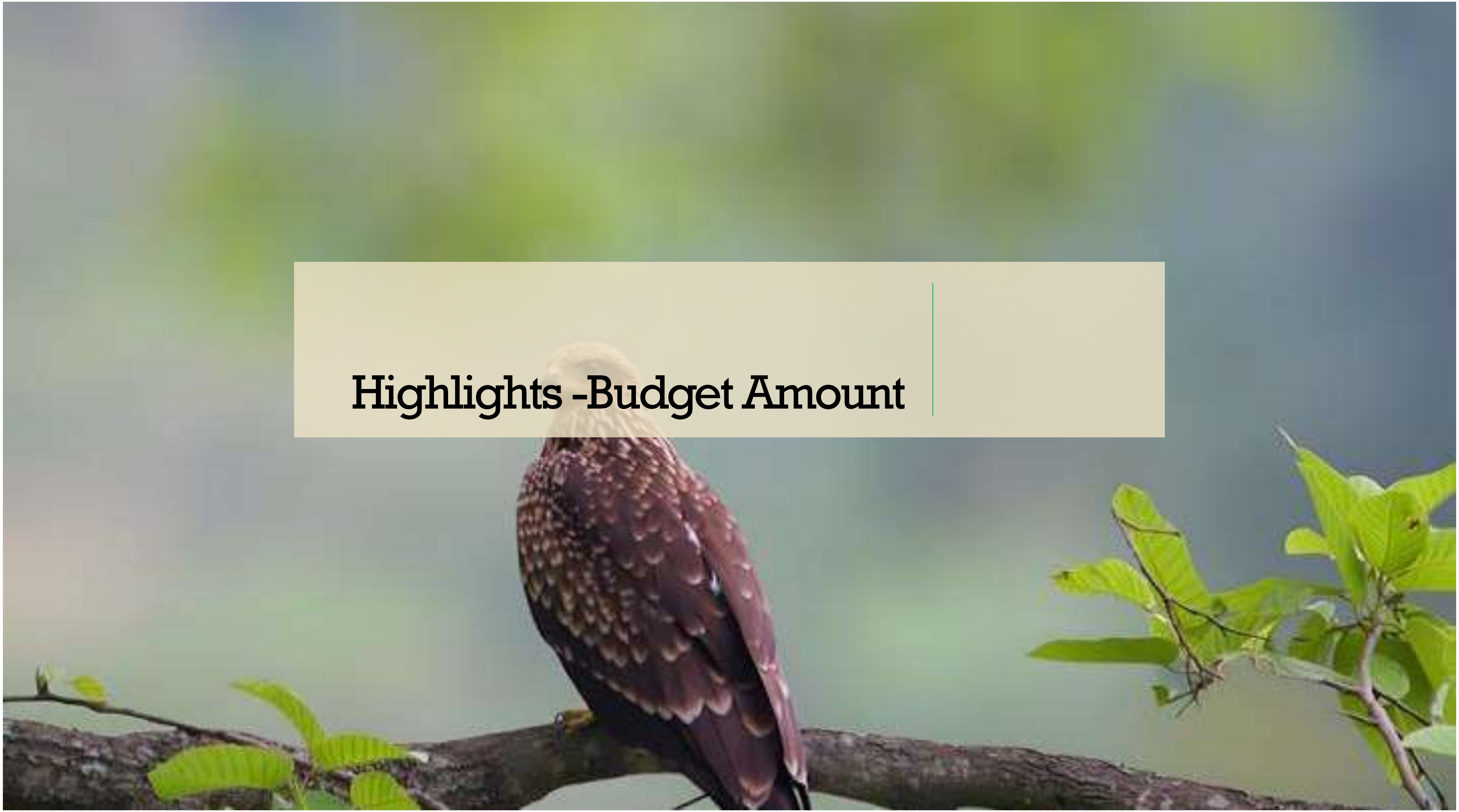


Budget Highlights and Tax Amendments – FY 2082/83

Jestha 25, 2082

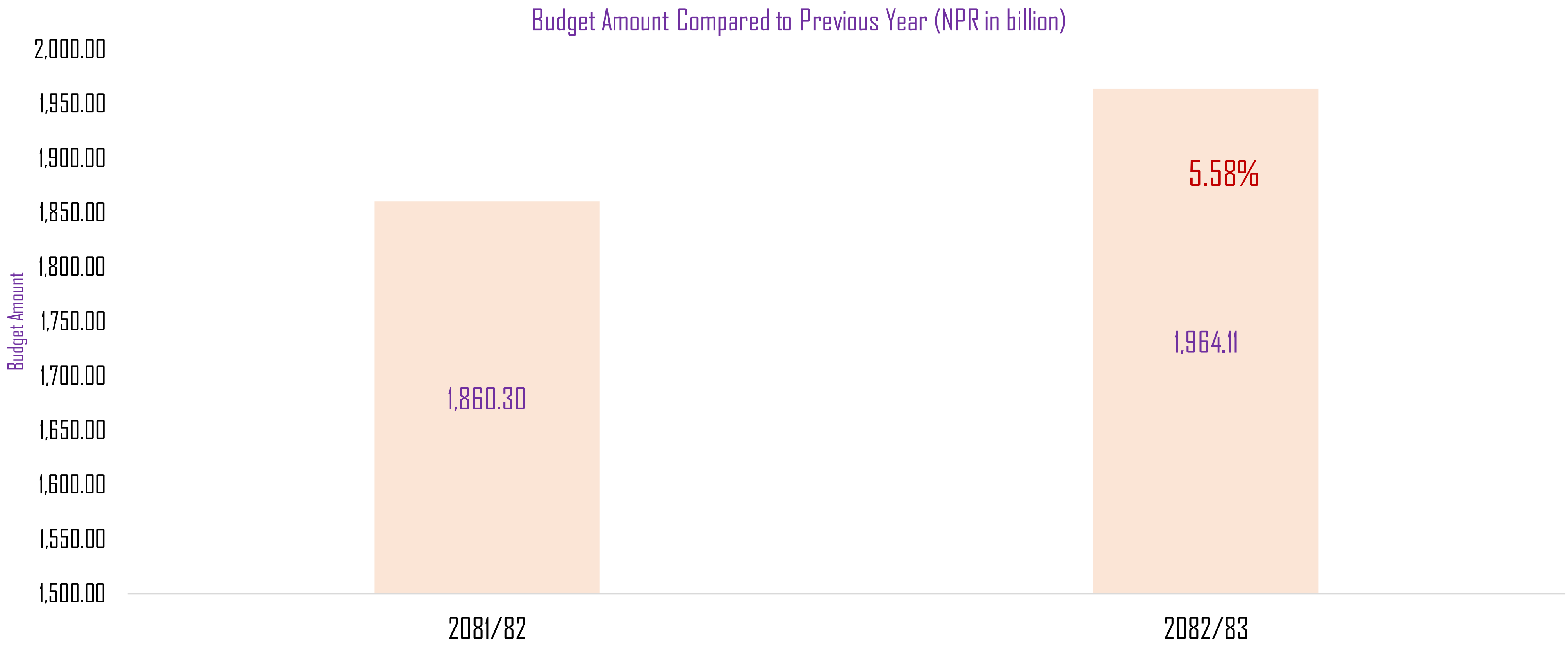
Contents



Highlights -Budget Amount

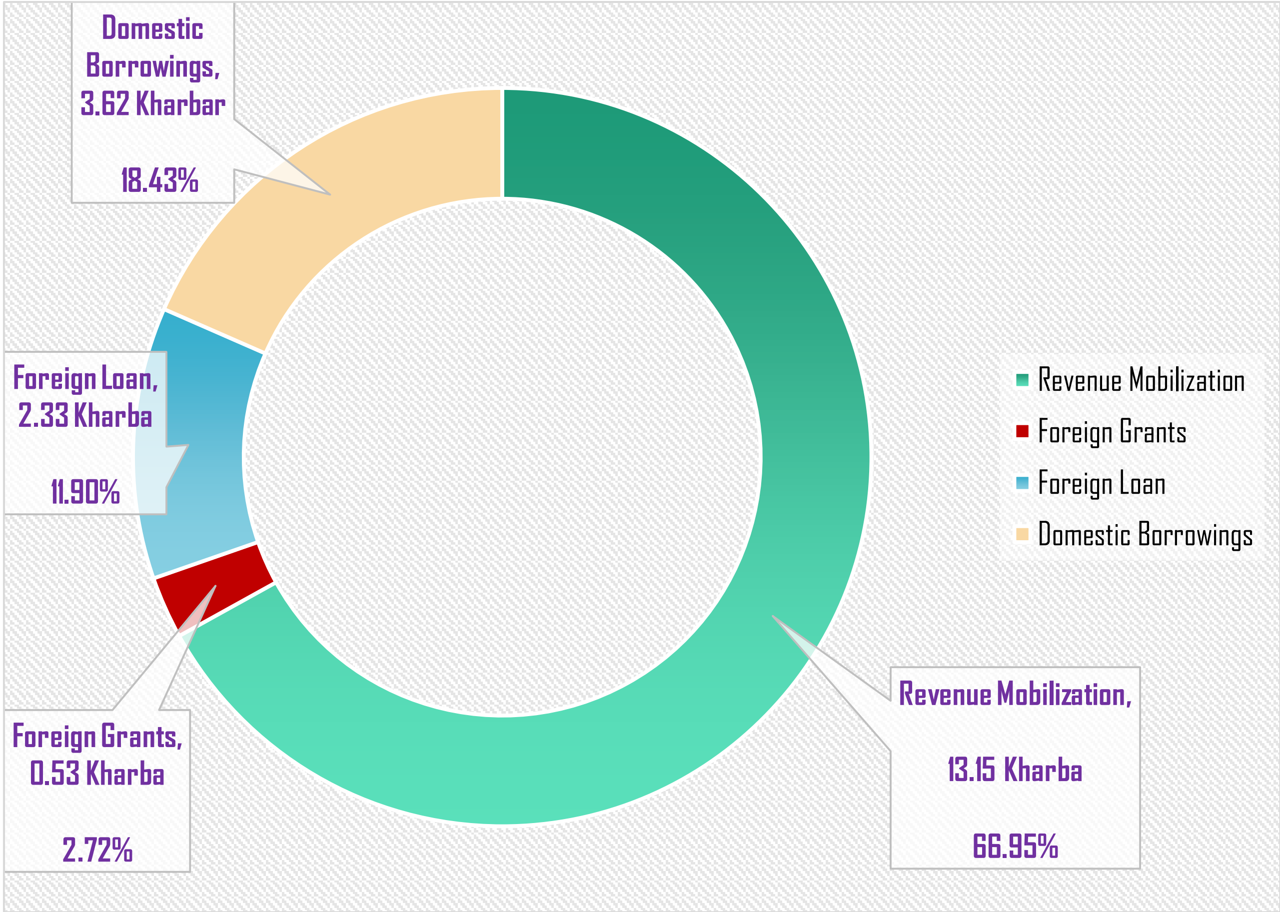
Budget Amount Comparison

Budget Amount Compared to Previous Year *(NPR in billion)*

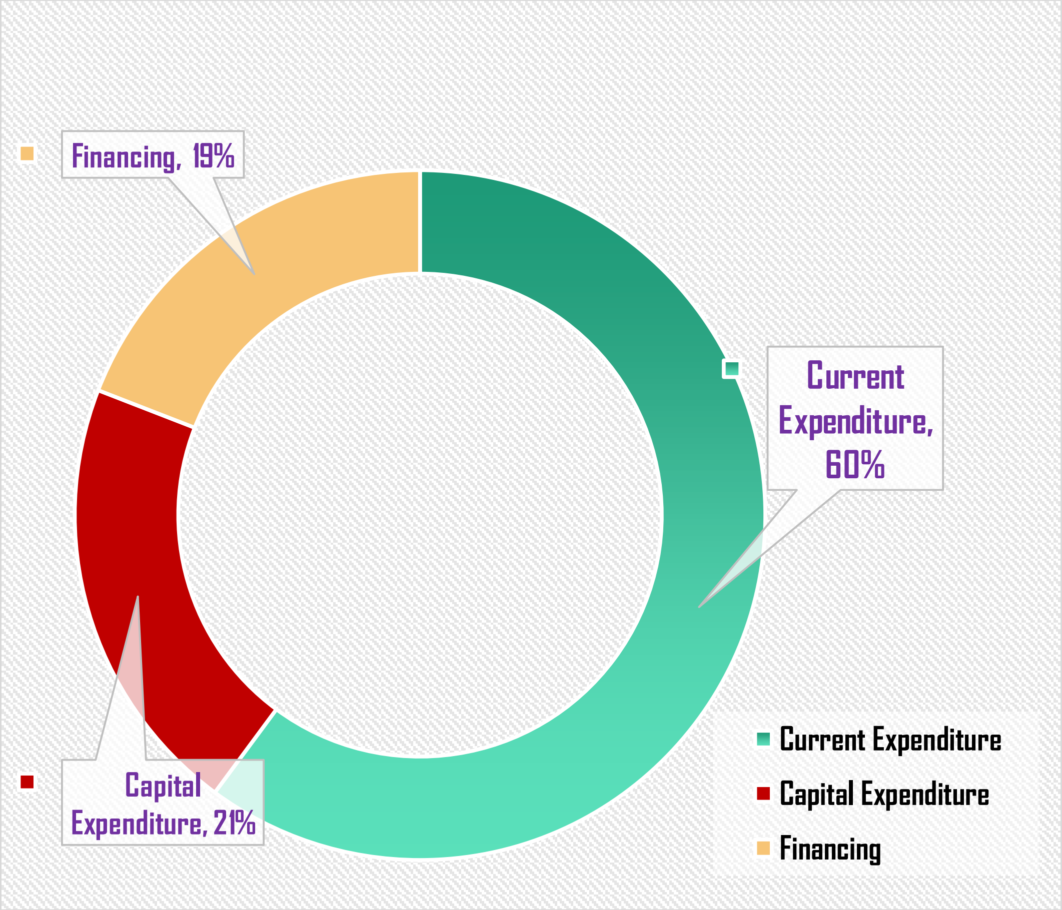


Source of Finance and Allocation of Budget

Source of Budget *(NPR in Billion)*



Allocation of Budget *(NPR in Billion)*



General Amendments

General Amendments (Tax Amnesty-1)

Section 24 – Special Provision Relating to Waiver of Penalties, Additional Charges, Fines and Interest applicable to Social Institutions (New Provision)

Particulars	**Charge**
Applicability	Community Hospitals or Health Institutions or transport related organizations registered as per Association Registration Act, 2034 (1977)
Rebate Amount	100% of Interest, Charges, Additional Fees and penalty levied on tax assessment and amended tax assessments.
Condition for availing the waiver benefit	If tax assessment or reassessment has been done before 15 Jestha 2082 (28 May 2025) under • VAT Act, 2052, • Income Tax Act, 2058, or • Finance Bill And The assessed taxes are paid by the end of Poush 2082 (14 January 2026)
Due Date for Deposit to avail the waiver benefit	**End of Poush, 2082 (14 January 2026)**

General Amendments (Tax Amnesty-2)

Section 25 – Special Provision Relating to Waiver for taxpayers who have not submitted VAT Returns and not deposited VAT liability

Particulars	Charge
Applicability	Taxpayers registered for Value Added Tax who have not deposited VAT liability and VAT return accrued up to **Chaitra end 2081**
Rebate Amount	❖ **75% of Interest** ❖ 100% of Penalty and additional charges Applicable on account of delay deposit of such Value Added Tax liability and delay submission of VAT Returns.
Condition for availing the waiver benefit	❖ File VAT return and Deposit applicable VAT liability ❖ Deposit only VAT liability if return has already been filed. ❖ Deposit **25% of the interest on VAT liability**
Due Date for Deposit to avail the waiver benefit	**End of Poush, 2082 (14 January 2026)**

General Amendments (Tax Amnesty-3)

Section 26 – Special Provision Relating to Waiver for taxpayers who have not submitted Excise Returns and not deposited Excise liability accordingly

Particulars	Charge
Applicability	Taxpayers licensed as per Excise Tax Act, 2058 who have not deposited Excise duty liability and filed Excise return accrued up to Chaitra end 2081
Rebate Amount	❖ **50% of Late Fees** ❖ 100% of Fine and additional charges Applicable on account of delay deposit of such Excise duty liability and delay filing of Excise Return
Condition for availing the waiver benefit	❖ File Excise return and deposit excise duty liability as per the return. ❖ Deposit only Excise duty liability if return has already been filed. ❖ 50% of the late fees
Due Date for Deposit to avail the waiver benefit	**End of Poush, 2082 (14 January 2026)**

General Amendments (Tax Amnesty-4)

Section 27 – Special Provision Relating to Exemption on VAT on International Air Transport Service (New Provision)

Particulars	Charge
Applicability	International Air **Transport Service** providers, not registered in Value Added Tax who **should have or have collected** Value Added Tax from 01 Kartik 2080 by registering as per VAT laws, but have not deposited Value Added Tax
Rebate Amount	❖ Applicable Interest ❖ Additional Fees and ❖ Penalty on such VAT liability
Condition for availing the waiver benefit	❖ Register as per VAT Act, 2052 ❖ Pay the VAT liability accrued from Kartik 2080
Due Date for Deposit	**Ashwin end, 2082 (16 October 2025)**

Particulars	Charge
Applicability	International **Air Ticket Service** Provider, whether or not registered in VAT, who should have or have collected Value Added Tax from 01 Kartik 2080 by registering as per VAT laws, but have not deposited Value Added Tax
Rebate Amount	❖ VAT liability (Only before Kartik 1, 2080) ❖ Applicable Interest ❖ Additional Fees and ❖ Penalty on such VAT liability
Condition for availing the waiver benefit	❖ Register as per VAT Act, 2052 ❖ Pay the VAT liability accrued from Kartik 2080
Due Date for Deposit	**Ashwin end, 2082 (16 October 2025)**

General Amendments (Tax Amnesty-5)

Section 30 – Special Provision Relating to Waiver of Interest and Penalties as per Income Tax Act, 2052
(New Provision)

Particulars	Charge
Applicability	Resident entities, who has been assessed under Section 57(1) of the Income Tax Act, 2058 **due to changes in ownership** in another resident entity, which holds interest in such entity, and which has already been assessed under Section 57 (1) of the Act.
Condition for waiver	Deposit assessed tax by **Ashadh end, 2082 (16 July 2025)**
Waiver	**Interest and fees applicable on** the amended tax assessment

३०. **आयकरको व्याज तथा शुल्क मिनाहा सम्बन्धी विशेष व्यवस्था:** आयकर ऐन, २०५८ को दफा ५७ को उपदफा (१) बमोजिम स्वामित्व परिवर्तन भई करारोपण भइसकेको बासिन्दा निकायको हित रहेको नेपालको अर्को बासिन्दा निकायलाई सो स्वामित्व परिवर्तनको आधारमा संशोधित कर निर्धारण भई वक्यौता रहेको भएमा त्यस्तो निकायले संवत् २०८२ साल आषाढ मसान्तसम्ममा निर्धारित कर रकम दाखिल गरेमा त्यस्तो संशोधित कर निर्धारण बमोजिमको व्याज र शुल्क मिनाहा हुनेछ।

General Amendments (Tax Amnesty-6)

Section 31 – Special Provision Relating to Waiver of Income Tax on Public or Private Transport Vehicle (New Provision)

Particulars	Charge
Applicability	For de-registration of public or private vehicles that are over 20 years old or no longer operational
Condition for waiver	If the taxpayer declares and submits income tax **for FY 2081/82 and 2082/83 by end of Poush 2082.**
Waiver	Income Tax liability **before FY 2081/82** and Interest applicable on such tax.

Section 17: Luxury Tax

Existing Provision	Revised Provision
Luxury tax shall be imposed at the rate of 2% **on the sale value of following goods and services:** a. Services provided by five star or more hotel and luxury resort. b. Imported ready made alcohol. **c. Gold jewelry or diamond, pearls mounted gold jewelry of value more than NPR 1 million.**	Luxury tax shall be imposed at the rate of 2% **on the following goods and services as follows:** **a. On the sale value of services provided by** five star or more than five star hotel and luxury resort. **b. On the import value including custom duty and excise duty** of imported ready made alcohol. **c. On the sale value of gold and gold jewelry.**

General Amendments (Tax Amnesty-7)

Section 28 – Exemption to taxpayers who have been assessed for not submitting Income Tax Return (ITR) (New Provision)

If **any taxpayer** who has not submitted an income tax return (ITR) for any year was previously assessed for tax by the relevant tax office under Section 101 of the Income Tax Act, 2058, and has subsequently filed the ITR and paid the applicable tax amount or files the ITR and pay the corresponding tax by the end of Poush 2082 (14 January 2026).

For ITRs submitted or to be submitted under this provision, the relevant tax office may reassess the tax before the end of Ashad 2083 (mid-July 2026) and determine the revised tax liability.

The limitation periods specified in Section 20(4) of the VAT Act, 2052 and Section 101(3) of the Income Tax Act, 2058, shall not be applicable during this reassessment process.

Unless a new reassessment is carried out, the previous reassessment order shall remain unenforced.

General Amendments

Sec 22 - Special provision regarding deduction of payment of transport vehicle rent

If a transport service provider had hired a means of transport from a natural person without a PAN during financial years 2078/79, 2079/80, and 2080/81 for business operations, and had withheld tax on the rental payment in accordance with Section 88(1)(8) of the Income Tax Act, 2002, then—despite of not having PAN on the invoice—such expense will be allowed to be deducted as a business expense in computing taxable income for respective financial years.

Sec 23 -Special provision regarding affiliation and transfer of retirement contribution amount (New Provision)

Retirement funds currently operating as approved retirement funds under the Income Tax Act, 2058 **should be mandatorily transferred to or aligned with the retirement funds established under the following laws by the Ashad end 2083 (i.e., mid-July 2026)**: the Employees Provident Fund Act, 2019; the Citizen Investment Trust Act, 2047; the Social Security Fund Act, 2074; and the Pension Fund Act, 2075.

If a contributor transfers the lump sum amount of their contribution-based retirement fund from existing approved retirement fund to the designated fund within the specified period as mentioned above, such transferred amount **shall not be subject to withholding tax under the Income Tax Act, 2058**

General Amendments

Sec 20- Health Risk Tax

A health risk tax shall be levied and collected on the items listed in Schedule-6 that are imported from abroad or produced in Nepal.

Health Risk Tax shall be administered by Inland Revenue Department.

- Re 0.30 on Bindi
- Re. 0.60 on cigarettes or cigar
- Rs 60 per kg on or ready-made edible surti, khaini, gutkha, panmasala
- 10% on amount determined for customs purpose on heated tobacco
- Rs 3 per piece on nicotine equipped electronic cigarette or vape
- Rs. 60 per kg on items other than mentioned above

Sec 21- Special Provision on Import under Bank Guarantee for Import by Hydroelectricity Project

Particulars	Existing provision	Changed provision
Applicability	The contractor or project promoter of a project with a theoretical agreement to increase in capacity and change the design of a hydropower project on import of construction equipment, machinery tools or their parts necessary for the production, transmission and distribution of such project.	The contractor or project promoter of a project with a principal approval to increase in capacity and change the design of a hydropower project on import of construction equipment, machinery tools or their parts, **explosive materials, penstock pipe or steel plate** necessary for the production, transmission and distribution of such project.
Facility	The custom tariff and VAT to be paid on import can be done through Bank Guarantee	The custom tariff and VAT to be paid on import can be done through Bank Guarantee
Approval Authority	Department of Electricity Development	Department of Electricity Development
Releasing the Bank Guarantee	On payment of 1% of custom tariff on imported goods Remaining Custom Tariff and Value Added Tax will be exempted and Bank Guarantee will be released.	**Application** to be submitted to the custom office of import along with the **approval of Department of Electricity Development** by the hydropower project or its contractor or project promoter On payment of 1% of custom tariff on imported goods Remaining Custom Tariff and Value Added Tax will be exempted and Bank Guarantee will be released.

General Amendments

Section 32 – Special Provision Relating to Release of Bank Guarantee or Release of Cash Deposit (New Provision)

Particulars	Charge
Applicability	The importer involved in a customs duty **dispute on account of classification made** by the Customs Officer. The importer who brought marble blocks listed under Sub-heading 2515.12.00 or granite blocks/slabs of rectangular shape under Sub-heading 2516.12.00 of Part 25, Schedule 3 of the Customs Tariffs Act, 2081, before Mangsir 6, 2081, by depositing a guaranteed amount. These goods were imported as industrial raw materials, with the importer claiming they fall under Sub-heading 2515.11.00 (crude or roughly trimmed marble) or Sub-heading 2516.11.00 (crude or roughly trimmed granite).
Condition for benefit	Withdrawal of appeal filed to Custom Department or to court within Mangsir end, 2082.
Benefit	Guarantee amount to be released.

Applicability	**Final goods produced and exported out of raw materials imported by industry with the license of Bonded Warehouse under Bank Guarantee facility and by the industry using passbook facility where due to various reasons the cash or bank guarantee is not released**
Condition for benefit	Apply with required evidence and supporting documents **within Mangsir end, 2082**
Benefit	Release of cash guarantee or bank guarantee

General Amendments

Section 32 – Special Provision Relating to Release of Bank Guarantee or Release of Cash Deposit (New Provision)

Particulars	Charge
Applicability	**Shipping containers** owned by domestic or foreign shipping companies, used for transporting goods, remained within the premises of Customs for an extended period, with or without being formally seized.
Condition for benefit	Application to be made within **Mangsir end, 2082.**
Benefit	Release of container to respective shipping companies without levy of any kind of charges and demurrage.

General Amendments

Section 29 – Special Provision Relating to Foreign Person providing Digital Service in Nepal (New Provision)

Provision of Permanent Establishment in relation to definition provided by Section 2 (aab) (5) of Income Tax Act, 2058 **is not applicable to foreign person** who are registered under Section 16 of Finance Act 2081 and Section 10B1 of VAT Act, 2052 and has been providing digital services in Nepal

Below is the provision of Section 10B1 – Arrangement regarding registration of non-resident person

Notwithstanding anything contained elsewhere in VAT Act, 2052 a non-resident person who deals in electronic services in Nepal or offline air transport services *having taxable transaction of more than three million rupees in the last 12 months* will have to register under Value Added Tax.

Below is the provision of Section 2 (aab) (5) of Income Tax Act, 2058

The place from where there is significant digital presence in Nepal being outside the territory of Nepal or in case server is outside Nepal and has transacted the data and services for 90 days out of 12 months, such places are considered to be the Permanent Establishment.

Below is the synopsis of Section 16 of Finance Act, 2081:

Particulars	Provision
Nature of Tax	Digital Service Tax
Applicability	**Non-Resident Person** providing digital services to consumers in Nepal
Threshold	Upto Rs. 30 lakhs i.e., Digital Service Tax is not levied **upto the transaction of NPR 30 Lakhs.**
Rate of Digital Service Tax	**2% of Service Amount**
Applicability of Income Tax as per Income Tax Act, 2002	Not Applicable to pay income tax as per Income Tax Act, 2002

Amendments in Income Tax Act, 2058

Amendments in Income Tax Act, 2058

Section 2 (ai1) - Definition of Contribution Based Retirement payments

Existing Provision	Revised Provision
Contribution based retirement payment means ❖ the amount deducted monthly from the salary of an employee and ❖ Employer's contribution deposited in approved retirement fund ❖ This also includes the incremental amount in such contribution.	Contribution based retirement payment means ❖ the amount contributed to an approved retirement fund after being included in the income of a natural person, ❖ This also includes an incremental amount in such contribution.

[16](त्र१) "योगदानमा आधारित अवकाश भुक्तानी" भन्नाले कर्मचारी वा कामदारको पारिश्रमिकबाट मासिक रुपमा कट्टा गरिएको रकम तथा रोजगारदाताबाट अवकाश योगदान बापत थप गरी स्वीकृत अवकाश कोषमा जम्मा गरिएको रकम र सो रकममा वृद्धि भएको रकम समेतको भुक्तानी सम्झनु पर्छ।

Vs

"(त्र१)"योगदानमा आधारित अवकाश भुक्तानी" भन्नाले प्राकृतिक व्यक्तिको आयमा समावेश भई सो मध्येबाट स्वीकृत अवकाश कोषमा जम्मा गरिएको रकम र सो रकममा वृद्धि भएको रकम समेतको भुक्तानी सम्झनु पर्छ।"

Amendments in Income Tax Act, 2058

Section 63- Retirement Funds

Section 63 (1): Approval of establishment of retirement fund

Existing Provision	Revised Provision
If a resident person desires to establish a retirement fund, it should file an application to IRD and IRD shall give approval as prescribed.	Removed

Impact: Approvals for retirement funds from various companies have been revoked through an amendment to Section 63 of the Income Tax Act.

Tax deductions are now limited to contributions made to specific funds: the Employees Provident Fund (2019), Citizen Investment Trust (2047), Social Security Fund (2074), and funds under the Retirement Fund Act (2075).

Section 63 (2): Clarification: Approved Retirement Fund

Existing Provision	Revised Provision
No Provision	For Section 63 of Income Tax Act 2058, approved retirement fund' means ❖ Employee Provident Fund established under the Employee Provident Fund Act, 2019 ❖ Citizen Investment Trust established under Citizen Investment Trust Act, 2047 ❖ The retirement fund operated by the social security fund established pursuant to the Contribution Based Social Security Fund Act, 2074 and ❖ The retirement fund operated by the pension fund established pursuant to the Pension Fund Act, 2075.

Amendments in Income Tax Act, 2058

Section 4 (4B) - Tax Calculation and Tax Rate

Section 4 (4B): Section 4(4B) has been added and requires individuals eligible for presumptive tax and transaction-based tax schemes to opt for the schemes prescribed in Section 4(4) or Section 4(4A).

Below is the synopsis of provisions of Section 4(4) and Section 4(4A):

Section 4(4): The following are the conditions for payment and amount of presumptive tax

Conditions of Presumptive Tax:

a. A person shall be resident natural person.

b. A Person shall derive only business income sourced in Nepal in that fiscal year.

c. A Person shall not claim medical credit under section 51 and advance tax under Section 93.

d. A Person's annual transaction shall not be more than Rs 3 million and annual profit up to Rs 300,000.

Amount of Presumptive Tax (Schedule 1, Clause 1(7) of Income Tax Act, 2002

Natural Person doing business in

Metropolitan & Sub Metropolitan City : NPR 7,500

Municipality : NPR 4,000

Areas other than mentioned than above :NPR 2,500

Consequently, individual eligible for presumptive tax without having any taxable profit or choosing to file an ITR under form D03 can now choose not to file forms D01 and D02.

Section 4(4): The following are the conditions for payment of tax to be paid by transaction-based taxpayers and rate of tax as per Clause 1(17), Sch-1

Conditions of transaction-based taxpayers

a. Person shall be resident natural person.

b. Person shall derive only business income sourced in Nepal in that fiscal year.

c. Person's annual turnover should be more than NPR 3 million but less than NPR 10 million and annual profit up to NPR 1 million

d. Person's income shall not include income from consultancy and expert service provided by natural person including doctor, engineer, auditor, lawyers, sportsman, artist and consultant

Particulars	Rates – FY 2082/83
Resident Natural Person conducting transaction of:	
Gas, Cigarette by adding commission or price upto 3%	
• Turnover of NPR 3 million > NPR 5 million	0.25% of turnover
• Turnover of NPR 5 million > NPR 10 million	0.30% of turnover
Other than business mentioned in (a) above	
• Turnover of NPR 3 million > NPR 5 million	1% of turnover
• Turnover of NPR 5 million > NPR 10 million	0.8% of turnover
Service Business	2% on transaction amount

Amendments in Income Tax Act, 2058

Section 96(2) (Ga)(3Ka): Income Tax Return Details

Existing Provision	Revised Provision
No Provision	If elected to pay income tax and file return accordingly as per Section 4 (4B) of Income Tax Act 2058 information regarding such shall be included in details of income tax return.

Section 10(e): Allowances provided by Government of Nepal, Province Government or Local Level

Existing Provision	Revised Provision
All kinds of allowances provided by the Government of Nepal, Province or Local Level as social security shall be exempted from payment of tax.	All kinds of allowances provided by the Government of Nepal, Province Government or Local Level as social security shall be exempted from payment of tax.

Amendments in Income Tax Act, 2058

Section 11(2b): Tax Exemption to Special Industry

Existing Provision	Revised Provision
The following exemption shall be available to **special industries** fully operated throughout the year:	The following exemption shall be available to special industries, **hotels, resort and the information technology industry** fully operated throughout the year:

Person	Tax Rebate
Resident Natural Person (If he/she falls under Tax Slab of 30%)	1/3rd on Applicable Tax
Entity	20% of Applicable Tax

Person	Tax Rebate
Resident Natural Person (If he/she falls under Tax Slab of 30%)	1/3rd on Applicable Tax
Entity	20% of Applicable Tax

Amendments in Income Tax Act, 2058

Section 11(3) (a): Tax Exemption to Special Industry

Existing Provision

Rebate to Special Industry and Information Technology Industry engaging Nepalese Citizen throughout the Year:

No. of Employees	Tax as a % of applicable tax
≥ 100	90%
≥ 300	80%
≥ 500	75%
≥ 1000	70%

In addition to it, 10% additional rebate provided if direct employment is provided to 100 or more Nepalese Citizens including at least 33% of women, oppressed or handicapped person

Revised Provision

The following exemption shall be available to special industries, hotels, resort and the information technology industry fully operated throughout the year:

No. of Employees	Tax as a % of applicable tax
≥ 100	90%
≥ 300	80%
≥ 500	75%
≥ 1000	70%

In addition to it, 10% additional rebate provided if direct employment is provided to 100 or more Nepalese Citizens including at least 33% of women, oppressed or handicapped person

Amendments in Income Tax Act, 2058

Section 11(3) (b): Tax Exemption to Special Industry

Existing Provision	Revised Provision
Where special industries are operated in very undeveloped (remote), undeveloped, less developed areas, 10%, 20% and 30% rebate shall be available respectively for 10 income years from the date of commercial operation. However, Tax shall be exempted for 15 years from the date of commencement of business to special industry established in Karnali and the hilly districts of Far Western province providing direct employment to more than 100 Nepalese citizens	Where special industries, **Hotel, Resort** are operated in very undeveloped (remote), undeveloped, less developed area, 10%, 20% and 30% rebate shall be available respectively for 10 income years from the date of commercial operation. However, Tax shall be exempted for 15 years from the date of commencement of business to special industry, **Hotel, Resort** established in Karnali and the hilly districts of Far Western province providing direct employment to more than 100 Nepalese citizens

Amendments in Income Tax Act, 2058

Section 11(3) (c): Tax Exemption to Special Industry

Existing Provision

Particulars	Provision
Applicable Tax Rate	100% exempt for first 5 years from the date of commencement of business and 50% exemption for three years thereafter
Applicable to	Special Industry and tourism industry (except casino)
Conditions	❖ Capital investment exceeding NPR 1 billion and ❖ Provides direct employment for 500 individuals throughout the year Provided that, in respect of special industry currently in commercial operation, where such industry increases its capital investment to at least NPR 2 billion and provides direct employment to at least 300 individuals throughout the year along with enhancement in capacity by at least 25%, there shall be 100% tax exemption on income generated from enhanced capacity for five years and 50% tax exemption for three years thereafter

Revised Provision

Particulars	Provision
Applicable Tax Rate	100% exempt for first 5 years from the date of commencement of business and 50% exemption for three years thereafter
Applicable to	Special Industry, **Hotel and Resort** and tourism industry (except casino)
Conditions	❖ Capital investment exceeding NPR 1 billion and ❖ Provides direct employment for 500 individuals throughout the year Provided that, in respect of special industry, **Hotel and Resort** currently in commercial operation, where such industry increases its capital investment to at least NPR 2 billion and provides direct employment to at least 300 individuals throughout the year along with enhancement in capacity by at least 25%, there shall be 100% tax exemption on income generated from enhanced capacity for five years and 50% tax exemption for three years thereafter

Amendments in Income Tax Act, 2058

Section 11(3C): Tax Exemption based on establishment in special area

Existing Provision	Revised Provision
50% of applicable tax on income of following industry shall be exempted. The industry related to software development, data processing, cyber cafe, digital mapping established in the **zoological, geological, biotech related park, technological park and information technology park** specified by the Government of Nepal by a notification in the Nepal Gazette	**75% of applicable tax** on income of following industry shall be exempted. The industry related to software development, data processing, cyber cafe, digital mapping established in the **zoological, geological, biotech related park, technological park and information technology park** specified by the Government of Nepal by a notification in the Nepal Gazette

Amendments in Income Tax Act, 2058

Section 11(3L): Tax Clarification: Information Technology Industry

Existing Provision	Revised Provision
For the purpose of Section 11 (3L), 'Information Technology Industry' means technology park, information technology park, biotech park, software development, data processing, digital mapping, business process outsourcing, data mining, cloud computing related industries.	Removed. Removed from Section 11 (3L), however, addressed in 11 (6) (e), thus, no impact of removal of explanations.

Section 11(6)(e): Clarification: Information Technology Industry

Existing Provision	Revised Provision
No Provision	'Information Technology Industry' means technology park, information technology park, biotech park, software development, data processing, digital mapping, business process outsourcing, data mining, cloud computing related industries.

Amendments in Income Tax Act, 2058

Section 11(3T): Tax Exemption to start-ups

Existing Provision	Revised Provision
Tax Rebate: **100% tax exemption** for a period of **5 years** from commencement of business Applicable to: Startup business prescribed by IRD generating turnover up to **NPR 10 million** by using new knowledge, skill, thought, technology or practices	Tax Rebate: **100% tax exemption** for a period of **5 years** from commencement of business Applicable to: Startup business prescribed by IRD generating **turnover up to NPR 100 million** by using new knowledge, skill, thought, technology or practices

Section 11 (3z): Tax Exemption to industry producing green hydrogen (New Exemption Provision)

Industry producing green hydrogen shall be exempted from income tax for five years from the date of commencement of its transaction.

Section 11 (3aa): Tax Exemption to industry producing and assembling EV charging machines

Industry producing and assembling EV charging machines shall be exempted from income tax for five years from the date of commencement of its transaction.

Section 11 (3ab): Tax Exemption to person operating Industrial Area or Industrial Village

A Person establishing and operating industrial areas or industrial villages will be entitled to 100% exemption from income tax for the first ten years and 50% exemption from income tax for the next 5 years from the date of commencement of its transaction.

Amendments in Income Tax Act, 2058

Section 67: Clarification: Source of Income, Loss, Profit and Payment

Existing Provision	Revised Provision
(ख) "नेपालमा बहन गर्नु पर्ने दायित्व" भन्नाले बासिन्दा व्यक्तिको दायित्व सम्झनु पर्छ।	"(ख) "नेपालमा बहन गर्नु पर्ने दायित्व" भन्नाले नेपालमा सञ्चालित क्रियाकलापबाट बासिन्दा व्यक्तिको सिर्जना भएको दायित्व सम्झनु पर्छ।"

Section 92 : Final Withholding Payment

Existing Provision	Revised Provision
Payment for rent of vehicle or transport vehicle and for freight service received by natural person **other than sole proprietorship firm** shall be final withholding payment.	Payment for rent of vehicle or transport vehicle and for freight service received by natural person ~~other than sole proprietorship firm~~ paying tax under Clause 1(13) of Schedule 1 of the Income Tax Act, 2002.

Amendments in Income Tax Act, 2058

Section 95A (7) Advance Tax

Below mentioned **advance tax on imports has been revoked** from Finance Bill 2082:

Particulars	Rate – FY 2082/83
Advance tax to be collected by **Customs Department** on import of following categories of goods:	
Group 1/2/3/6/7/8 of Customs Tariff: Meat with bones or boneless, live and fresh fish, Fresh Flowers, Edible vegetables and certain roots and tubers, Edible fruits and nuts and other production	10%
Group 4/10/11/12/14 of Customs Tariff: Milk Products, Eggs, Honey, Millets, Phapar, Junelo, Rice, Kanika, Flour, Herbs, Sugarcane, Vegetable Products	2.50%
However, goods on which VAT is applicable – rate of advance tax	1.50%

Section 113(8): Carry forward of excess advance tax

Existing Provision	Revised Provision
In an Income Year, if the advance tax collected by the Customs Department on import of categories of goods mentioned in section 95A (7) **remains excess** after settlement of Tax liability of that Income Year shall **not be carried forward or refunded**	**Removed

*** Since the provision of Section 95A (7) has been revoked, amendment is intended to address the same only.*

Section 21 (1) (b): Tax and fines paid under Income Tax Act

Existing Provision	Revised Provision
Tax payable under Income Tax Act 2058 and a fine or similar other fee paid to the government of any country or any local body thereof for a violation of any law or regulation, byelaw framed thereunder. Provided the tax collected under section 95A (7) but could not be set off in that income year, tax paid to the Provincel Government and Local Level can be deducted as expenses.	Tax payable under this Act and a fine or similar other fee paid to the government of any country or any local body thereof for a violation of any law or regulation, byelaw framed thereunder. Provided **~~the tax collected under section 95A (7) but could not be set off in that income year,~~ tax paid to the Province Government and Local Level can be deducted as expenses.

Amendments in Income Tax Act, 2058

Section 95A (8) Advance Tax

Existing Provision	Revised Provision
A person obligated to collect advance tax under Sections 95(1), 95(2), 95(5), and 95(6) shall be deemed to have collected the advance tax at the time it was required to be collected, even if the tax was not actually collected.	A person obligated to collect advance tax under Sections 95(1), 95(2), 95(5), 95(6), ***95 (6A), 95 (6B), 95 (6C), 95 (6D) and 95 (6E)** shall be **deemed to have collected the advance tax** at the time it was required to be collected, even if the tax was not actually collected.

***The following are the synopsis of provisions of Section 95 (6A), 95 (6B), 95 (6C), 95 (6D) and 95 (6E):**

Sec	Particulars	Rate – FY 2082/83
95A (6A)	Advance tax to be collected by -Resident banks and financial institutions provide foreign currency exchange facility for language and examination fees to students going for abroad studies at the time of providing foreign currency exchange facility in respect of payment of such examination fee.	15%
95A (6B)	Advance tax to be collected by -Concerned Banks, Financial Institutions and Money Transfer on payment of foreign currency received by natural resident person on account of providing software or similar electronic service outside Nepal (not through business operations)	5%
95A (6C)	Advance tax to be collected by -Concerned Banks, Financial Institutions and Money Transfer on payment of foreign currency received by natural resident person on account of providing consultancy services outside Nepal (not through business operations)	5%

Section	Particulars	Rate – FY 2082/83
95A (6D)	Advance tax to be collected by Concerned Banks, Financial Institutions and Money Transfer on payment of foreign currency received by natural resident person on account of uploading audio- visual material in social network (not through business operations)	5%
95A (6E)	Advance tax to be collected by Resident E-Commerce Operators on payment to person on account of sale of goods, services, goods and services provided through its platform.	1%

Amendments in Income Tax Act, 2058

Section 97 and 117 (Income Tax Return Exemption and Interest and Penalties)

Section 97(3): Clarification regarding income mentioned in 97(2)

Amendments made in the proviso to Section 97(3) stating that **retirement payments are not required to be included in the assessable income of a** Natural Person having income more than NPR 4 million while determining the limit of NPR 4 million in addition to meeting allowance and interest income.

Section 117(1) (Gha): Charges imposed on person on account of delay filing of income tax return (New Provision)

If the income tax return is not submitted in any income year as per Section 97 (2) (i.e. Submission of Income Tax Return by natural person with annual income of more than NPR 4 million) in any income year, **higher of following amount** shall be levied as interest on account of delay filing of income tax return:

- 0.1% per annum of the **amount after deduction of final withholding income** from the assessable income
- NPR 1,200 per return or NPR 100 per month if delay is less than one year

Amendments in Income Tax Act, 2058

Schedule 2, Clause 3(2)- Accelerated Depreciation

Existing Provision	Revised Provision
The projects mentioned in i. Section 19(2) – Machineries used by entities mentioned in Section 11 (3Q) as below and the entities mentioned in ii. Section 11 (2B) – Special Industry iii. Section 11 (3F) – Entities operating tram, trolley bus, ropeway, cable car, overhead bridges; construction of roads, bridges, tunnel, railway and airports iv. Section 11 (3Q) - Entity who is engaged in the project to build and operate Public Physical Infrastructure and Handover to Nepal Government and Construction of Powerhouse, Production and Transmission of Electricity **v. Clause 2 (3) of Schedule 1 of Income Tax Act 2058 – Co-operatives registered under Co-Operative Act 2074** shall be entitled with the additional depreciation rate of 1/3rd on the applicable rates in Pool A, B, C and D assets.	The projects mentioned in i. Section 19(2) – Machineries used by entities mentioned in Section 11 (3Q) as below and the entities mentioned in ii. Section 11 (2B) – Special Industry iii. Section 11 (3F) – Entities operating tram, trolley bus, ropeway, cable car, overhead bridges; construction of roads, bridges, tunnel, railway and airports iv. Section 11 (3Q) - Entity who is engaged in the project to build and operate Public Physical Infrastructure and Handover to Nepal Government and Construction of Powerhouse, Production and Transmission of Electricity ~~**v. Clause 2 (3) of Schedule 1 of Income Tax Act 2058 – Co-operatives registered under Co-Operative Act 2074**~~ shall be entitled with the additional depreciation rate of 1/3rd on the applicable rates in Pool A, B, C and D assets.

Impact: Cooperatives are not eligible to claim additional depreciation w.e.f. FY 2082/83.

Amendments in VAT Act 2054

Amendments in VAT Act, 2054

Section 2 (TA 2) – Definition of Electronic Service

Existing Provision	Revised Provision
"Electronic Service" means the following services, which require information technology to provide services to the consumer and are automatically provided through the Internet with minimal human intervention: a. Advertising Services, b. Movies, Television, Music, Over the Top (OTT) membership and other similar services c. Data Collection Services. d. Cloud Services, e. Gaming Services, f. Mobile Application Services, g. Internet Market Place (online marketplace) services and service provided through h. Supply and updating of Software, i. Service related to downloading statistics, pictures etc. j. Consultancy, skill development and training services, k. In addition to clauses (a) to (j) other similar services	"Electronic Service" means the following services, which require information technology to provide services to the consumer and are automatically provided through the Internet with minimal human intervention: **a. Paid Personalized Advertising Service** **b. Targeted Online Advertising Service*** c. Movies, Television, Music, Over the Top (OTT) membership and other similar services d. Data Collection Services. e. Cloud Services, f. Gaming Services, g. Mobile Application Services, h. Internet Market Place (online marketplace) services and service provided through i. Supply and updating of Software, j. Service related to downloading statistics, pictures etc. k. Consultancy, skill development and training services, l. In addition to clauses (a) to (j) other similar services

**Explanation: For the purpose of this section, "targeted online advertisement" refers to any form of communication made through digital interfaces by a user (either directly or indirectly) to promote a specific product, service, or brand by delivering content, messages, or advertisements based on the preferences, behaviors, or characteristics of the recipient. This includes advertisements disseminated through digital interfaces (such as digital platforms, websites, applications, or similar media) and is considered a form of electronic service*

Impact: Has broadened the horizon of arrangement regarding registration of non-resident person, which is defined in Section 10B1of VAT Act, 1996, whose synopsis is as below:

'Notwithstanding anything contained elsewhere in VAT Act, 2052 a non-resident person who deals in **electronic services** in Nepal or offline air transport services having taxable transaction of more than **three million rupees** in the last 12 months will have to register under Value Added Tax.'

Amendments in VAT Act, 2054

Section 17(8) and Section 30 – (Regarding non filing of VAT Returns and Suspension of Transaction)

Section 17 (8) : Regarding Non-Filing of VAT Return

Existing Provision	Revised Provision
Notwithstanding anything elsewhere in Section 17, the name of a taxpayer who does not file the tax returns for a consecutive period of six months may be made public, and if there is any amount due to such a taxpayer on account of input tax credit, such an amount may be suspended and his/ her registration may also be suspended.	*Removed

However, the provision has not been completely discarded in VAT Act, 2054 and has been discussed in Section 30 of VAT Act, 2054

Section 30 : Suspension of Transaction

Existing Provision	Revised Provision
If a registered person commits any of the offences listed under Section 29 more than once, the Director General may authorize a Tax Officer to seize that person's place of business for up to seven days, thereby preventing them from conducting any transactions during that period.	If a registered person commits any of the offences listed under Section 29 more than once, the Director General may authorize a Tax Officer to seize that person's place of business for up to seven days, thereby preventing them from conducting any transactions during that period. Notwithstanding anything stated elsewhere in this Section, if a taxpayer fails to file tax returns for six consecutive months, the following actions may be taken: a. The name of a taxpayer may be made public, b. If the amount of VAT credit of taxpayers is available such amount may be withheld c. Registration of taxpayers may also be suspended

Amendments in VAT Act, 2054

Sec 21(1)(e) : Addition of Term Province Government in Process of Recovery of VAT

Existing Provision	Revised Provision
If VAT due is not paid by any taxpayer within the time period under VAT Act,1996 the concerned tax officer may collect VAT by using any or all of the following methods: (e)By deducting amounts to be received by taxpayers from Government of Nepal or any organization owned by Government of Nepal or Local levels	If VAT due is not paid by any taxpayer within the time period under VAT Act,1996 the concerned tax officer may collect VAT by using any or all of the following methods: (e)By deducting amounts to be received by taxpayers from Government of Nepal or any organization owned by Government of Nepal, **Province Government** or Local levels

Sec 25 (1B) : Refund on Purchase via Electronic Medium

Existing Provision	Revised Provision
On purchase of vatable goods or service, if the consumers pay the amount through electronic means, they shall be refunded 10% of VAT amount paid by them on same. The refund shall be as **prescribed in the bank account of the same consumer.**	On purchase of vatable goods or service, if the consumers pay the amount through electronic means, they shall be refunded 10% of VAT amount paid by them on same. The refund shall be **made immediately.**

Amendments in VAT Act, 2054

Sec 25 (1C) : Refund of VAT Amount after Court Decision (New Provision)

If a taxpayer deposits an amount under Section 31A (6) during an administrative review and the final decision by the court for revised tax assessment leads to a reduced tax liability, then any excess amount deposited by the taxpayer shall be refunded upon request.

Sec 29 (j1) : Penalties

If any person is found conducting business without certifying a branch or warehouse, **a fine of NPR 10,000** shall be imposed for each instance.

A. Value Added Tax (VAT) **shall not be levied on clearing house services** to encourage digital payments.

Amendments in Custom Tariff Act 2081

Major Amendments in Custom Tariff Act 2081

Sec 2 (14) : Definition

"Duty" shall mean all types of taxes, charges, or fees levied on goods being exported or imported in accordance with the prevailing law, and the term ***also refers to customs duties***.

Sec 4 (5) : Classification of Goods

Existing Provision	Revised Provision
The Government of Nepal may, as required, change the heading or subheading number of the commodity classification or the description of the commodity by publishing a notification in the Nepal Gazette on the basis of the harmonized system.	The Government of Nepal may, as required, change the heading or subheading number of the commodity classification **other than the first six digits of the sub-heading** or the description of the commodity by publishing a notification in the Nepal Gazette on the basis of the harmonized system.

Section 10(2)(d): Duty to levied in the event of re-import of exported goods.

Following is the addition is the list/condition in Section 10(2) has been made where **custom duty shall not be levied** on **re-import** of exported goods:

- The goods were **defective in nature or not in accordance with the specification** mentioned in the agreement between the exporter and the importer

Major Amendments in Custom Tariff Act 2081

Section 10(3)(a) to (c): Duty to levied in the event of re-import of exported goods

Section 10(3): Notwithstanding anything contained in Section 10(2), **customs duty shall not be exempted** or refunded on the re-importation of goods under the following circumstances:

a. If any repair or use has been made to the goods beyond what is necessary to determine whether they are defective or not, in accordance with the specifications mentioned in the contract.

b. If it cannot be confirmed that the goods being re-imported are the same as those originally exported; or

c. If the goods are not re-imported within 180 days from the date of export.

Section 10(4)(5)(6): Duty to levied in the event of re-import of exported goods

10(4): In relation to Section 10(3)(c) : If the importer is unable to re-import the goods within the prescribed period (180 Days)and submits a written request stating valid reasons, the customs officer **may grant an extension of up to ninety days.**

10(5): In the case of goods re-imported pursuant to Section 10(1) : The importer may submit an application to leave the goods at the customs office.

If the goods are in a condition unsuitable for auction, the customs officer may allow the importer to either:

- Render the goods commercially worthless, or destroy them, in the presence of a customs officer and at the importer's own expense.

Major Amendments in Custom Tariff Act 2081

Section 19(2): Duty not to be charged

Existing Provision	Revised Provision
The Government of Nepal may itself use the goods so left pursuant to Section 19 (1) or the Customs Officer may auction them pursuant to this Act.	The Government of Nepal may itself use the goods so left pursuant to Section 19 (1) or the Customs Officer may auction them pursuant to this Act. If such use or auction is not possible, the customs officer may either order the importer concerned to take back the goods or have them destroyed at the importer's expense.

Section 20(2): Obligations regarding duties and penalties

Existing Provision	Revised Provision
Duties for goods declared under this Act must be paid within 7 days of the declaration. If the duties are not paid within this period, interest will be calculated on the unpaid duties at a rate of 0.042% per day from the date of such declaration. The maximum period for such interest will not exceed thirty days.	Duties for goods declared under this Act must be paid within 7 days of the declaration. If the duties are not paid within this period, interest will be calculated on the unpaid duties at a rate of 0.042% per day from the date of such declaration. ~~The maximum period for such interest will not exceed thirty days.~~

Excise Act, 2058

Major Amendments in Excise Act, 2058

Section 2(na1): Definition

"Liquor" refers to any substance containing more than 0.5% alcohol by volume, produced by fermenting grains, fruits, or any other starch-containing materials through biochemical processes or by any other method. This term also includes alcoholic beverages such as liquor, jaad, chhyang, whisky, rum, gin, brandy, vodka, beer, wine, sherry, champagne, cider, **perry, mead, malten**, ***sake, soju, vermouth, alcohol-mixed ready-to-drink beverages***, industrial alcohol, rectified spirit, malt spirit, silent spirit, denatured spirit, ***ENA (Extra Neutral Alcohol),*** and heads spirit.

The requirement for entities involved in export/import-oriented businesses to submit a bank guarantee of **NPR 300,000 to obtain an EXIM Code has been removed**

Section 9 (1): Provision Related to License - clarifies that excise duty licenses are not required for importing goods under diplomatic facilities with a recommendation from the MOFA or for exporting, selling, or storing goods (except tobacco) under the self-removal system.

Section 9(6A)

Existing Provision	Revised Provision
If a licensed manufacturer or importer fails to renew within the time limit mentioned in subsection (5) can renew within first 3 month from the date of such expiry by paying 50% of renewal fee, after that shall pay 100% penalty and **for remaining months of the fiscal year shall pay 200% penalty for the remaining period.**	Licensed manufacturer or importer fails to renew within the time limit mentioned in subsection (5) can renew within first 3 month from the date of such expiry by paying 50% of renewal fee, after that shall pay 100% penalty and for remaining months of the fiscal year **shall pay 200% penalty for the remaining period and for each period of the license.**


Thank You!